



The Drone Frontier: Geopolitics in a New Era of Conflict

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Executive Summary

- Policy incentives and spending hikes are driving the expansion of the global military drone market, with a projected CAGR of 8% through 2030. This looks set to unlock new investor opportunities across the wider drone ecosystem. Multi-billion-dollar investment pledges in the UK, US, Japan, India, and the EU are among those that reflect this rapid build-out.
- The surge in global spending will likely benefit established manufacturers in markets including the US, UK, and Türkiye. Ukrainian companies are well-positioned to capture post-war market share, as their footprint expands across Europe, the Gulf, and Asia-Pacific. Japan and the Philippines are among Asian markets interested in Ukrainian capabilities.
- The rapid development of drone technology – particularly hardware – risks leaving governments with obsolete stockpiles. For investors, this makes the sector harder to assess than the headline growth numbers suggest. Companies able to upgrade quickly across many drone models, or those specialising in software that can be rapidly upgraded, may be better positioned than those tied to a single platform.
- Organised crime, terrorist, and insurgent groups are increasingly adopting the technology, creating localised security risks that could drive further spending and prompt new restrictions on commercial drone use.
- National security concerns will likely drive efforts to cut critical dependencies, strengthen supply chains, support domestic manufacturers and secure an edge in AI. The US, EU, India, and Japan are among markets that will seek to reduce reliance on China for critical minerals and key components, in our view, but Beijing's dominance makes this a multi-year process requiring sustained investment across the value chain.

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Context

On 2 September, Ukraine announced it would soon finalise a bilateral drone production and development deal with Germany. This followed the signing of drone production and export agreements with Denmark, the Netherlands, and Estonia on the sidelines of the NATO Summit in July. The deals are among the latest developments marking Kyiv's emergence as one of the global leaders in drone technology. The agreements also come against the backdrop of a worldwide surge in investment in the sector. This trend looks set to continue for years, as governments absorb the lessons of the conflicts in Ukraine and the Middle East.

This report assesses the key geopolitical implications of the accelerating global race for drone dominance.

Disrupting Defence: The Rise of Cost-Effective Drone Power

The proliferation of inexpensive drones is reshaping military doctrine, defence spending, and procurement worldwide. While military drones date back decades, the technology has reached a number of major milestones and 'firsts' in the last several years, reflecting the accelerating pace of development, production and deployment (see timeline). The wars in Ukraine and Iran in particular have demonstrated the limitations of traditional costly military assets in the face of numerous, increasingly capable and AI-enabled, and often disposable drones.

Figure 1: Selected key milestones in military drone production and use, 2020-2026



Source : Deutsche Bank Research

Drones are unlikely to fully displace other military assets, including the need for 'boots on the ground' to seize and hold territory, but the next several years will likely see a global push toward adoption and integration with conventional military forces on an unprecedented scale.



Ukraine: From Necessity to Supremacy

Ukrainian companies could capture a sizeable share of the expanding market after the war. The need to counter Russia's manpower advantages has driven an innovation model linking frontline demand with fast domestic production. This has established Ukraine as a global leader in unmanned operations and high-volume production, particularly of attack drones. This includes utilising AI for navigation, targeting, and autonomous "last mile" attacks.

Kyiv reportedly [doubled](#) its drone procurement y/y during H1 and [plans](#) to eventually use robots for 100% of frontline logistical needs. According to President Zelenskyy, Ukraine now produces [10 million](#) drones per year (likely [more](#) than all of NATO combined, although Ukrainian figures probably include a large proportion of small tactical drones), and the country could scale production to 20 million units if its international partners provide sufficient funding. Nevertheless, once active combat ends and stockpiling needs are met, production could slow given how quickly drone capabilities change (see below).

Ukraine's manufacturing footprint is likely to extend further beyond its borders.

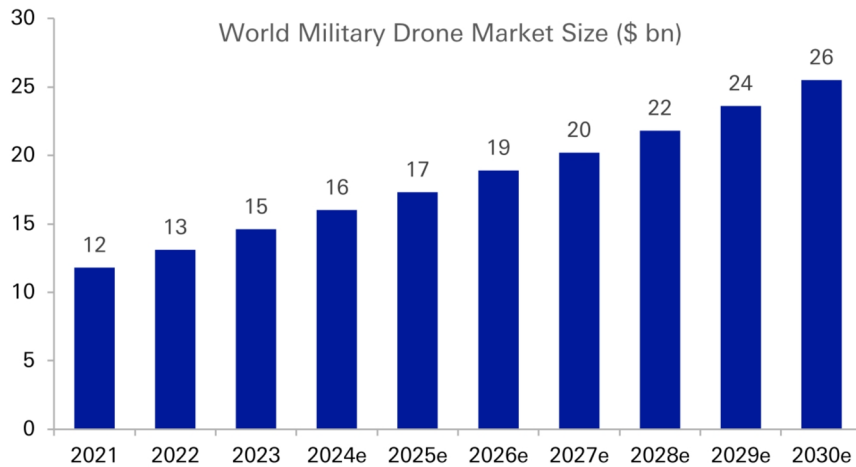
It is already expanding to facilities in countries including [the UK](#), [Denmark](#), [Norway](#), and [Germany](#), fostering technological diffusion and the emergence of a Europe-wide supply chain. Ukraine is also pursuing joint production with countries in the Middle East, Europe and the Caucasus, and has struck 10-year cooperation agreements with Saudi Arabia, the UAE and Qatar. More recently, [the WSJ](#) reported on 21 July that a new joint venture will produce Ukrainian sea-based attack drones in the US.

A Worldwide Surge in Spending

Policy incentives and spending hikes are set to fuel an expansion of drone and counter-drone arsenals in the coming years. The global military drone market is expected to grow at a CAGR of 8% through 2030, with growth in some regions – such as the Asia Pacific and Europe, the latter with an expected CAGR of 13% – projected to be even higher, according to [Global Market Insights](#). The forecasts signal robust, sustained expansion as global defence forces accelerate their transition to unmanned platforms. **This trajectory should create opportunities** for investors and companies in the wider ecosystem – from drone manufacturers to component, technology and software suppliers, as well as contractors providing support and maintenance.



Figure 2: The global drone market is expected to grow by a CAGR of 8% by 2030



Source : Global Market Insights, Deutsche Bank

Recent key developments include record procurement and spending requests in the US – already the world’s largest military drone market. Other notable initiatives include a historic shift toward a Hybrid Navy in the UK, the creation of a “Drone Wall” on the EU’s eastern flank, a mass purchase of commercial drones for military use in South Korea, and a record US\$2 billion investment push in India, which aims to bolster domestic drone manufacturing and reduce reliance on foreign suppliers (see table).

These investment pledges – set against the backdrop of rising global defence spending, which reached US\$[2.6 trillion](#) in 2025 – are **set to boost demand among existing manufacturers beyond Ukraine, including established players in the US and the UK**. This trend is reflected in **Türkiye’s** recent export boom. Türkiye is the world’s largest military drone supplier, accounting for some [65%](#) of armed-drone export sales. The country saw its defence exports triple over the past five years, and reportedly aims to double them in the next two.

The Asia-Pacific will likely continue to emerge as a major market. Geopolitical tensions in the Taiwan Strait and the South China Sea could see more investment in [surface and undersea drone capabilities](#). Ukrainian defence companies also [reportedly](#) aim to expand manufacturing and technological cooperation into the region, with Japan, the Philippines and other regional economies among potential markets. Regional companies are also seeking Ukrainian expertise, as reflected by a recent Japanese acquisition of two Ukrainian drone startups.



Figure 3: Selected recent developments, including planned or proposed spending increases

United States	The US Department of War has requested a 24,000% increase in FY2027 funding for its Defense Autonomous Weapons Group, which oversees mass-produced drones with AI capabilities. The Pentagon has placed an order for 30,000 one-way attack drones (the largest such order to date), and expects to receive more than 300,000 by early 2028.
United Kingdom	Aims to invest GBP5 billion (US\$6.7 billion) in advanced uncrewed systems, including a Hybrid Navy which integrates autonomous vessels and undersea drones. Plans to boost Army lethality ten-fold by investing in capabilities including AI and autonomous systems.
European Union	The creation of a new “Drone Wall” or “Drone Shield” will entail a multi-billion euro spending commitment.
France	Plans to expand its stock of explosive drones by up to 400% by 2030.
Australia	Intends to more than double funding for anti-drone capabilities over the next decade.
Germany	Announced plans to invest around EUR16 billion (US\$18.2 billion) in unmanned reconnaissance, attack and defence capabilities by the end of the decade.
China	Continues to invest in new drone capabilities amid rising defence spending. Recent developments include the reported construction of the world’s largest unmanned submersibles and the demonstration of a drone swarm operations system in March 2026.
India	Preparing to place a record US\$2 billion order for domestically-built military drones, reportedly as part of a plan to reduce dependence on foreign suppliers.
Japan	Tokyo allocated JPY 277 billion (US\$1.7 billion) for unmanned system in this year’s defence budget, more than double the figure from 2025.
South Korea	Intends to train 500,000 military drone operators and procure 11,000 commercial drones for military training in 2026.

Source : Deutsche Bank Research, external sources (see links in table).

Tech Turnover: The Obsolescence Dilemma

The scramble for drones risks leaving governments with stockpiles of obsolete equipment. The technological ecosystem around drones, and counter-drone systems, is not yet mature. Battlefield pressure forces rapid innovation, sometimes within weeks, risking large stockpiles becoming quickly **obsolete**. The rapid growth of the industry, and the proliferation of new companies entering the sector, also raises questions about the risks of an eventual industry consolidation.

For investors, this makes the sector harder to assess than the headline growth numbers suggest. The better-positioned companies may be those that can upgrade quickly across many drone models – through software, flexible or modular manufacturing and battlefield feedback – rather than those tied to a single drone platform. With hardware vulnerable to obsolescence, software could prove to be a material differentiating element, and several manufacturers are prioritising software platforms as key to upgrading their systems.

Rogue Drones: The Proliferation to Non-State Groups

Drone technology is a ‘great equaliser’ for non-state groups that could fuel a rise in global security risks. Organised crime, terrorist, and insurgent groups have expanded their drone capabilities in recent years. Groups like Hezbollah, Hamas, guerrillas in **Colombia**, and **Mexican** drug cartels have already adapted cheap commercial drones for attacks and demonstrated an ability to **absorb** the lessons of the war in Ukraine.

The proliferation of drone technology means that defences must cover a wide range of potential targets – from critical infrastructure to public events and government buildings – while being updated to close gaps that small, adaptive groups can exploit. Although there is little evidence to suggest that these groups have used AI-



enabled drones at scale, this could become an additional medium-term risk. **The need to counter evolving threats from non-state actors could be another driver of increased spending and may prompt more [restrictions](#) on commercial drone use.**

Strategic Autonomy: Diversifying Drone Supply Chains

National security concerns will likely drive efforts to reduce dependencies, strengthen supply chains, support domestic manufacturers, and secure an edge in AI. China continues to dominate drone supply chains, including for processed critical minerals used in key drone components such as motors and actuators, batteries and infrared / optical components (such as lenses). Major markets, including the US, remain highly dependent on China-linked supply. The table below highlights three key areas. We anticipate continued efforts to diversify critical mineral and component supply chains amid accelerating geopolitical competition. This process will likely dovetail with policies intended to reduce dependence on China for processed critical minerals (see [Geopolitical Outlook 2026: At the Mid-Point](#)).

Figure 4: From Mine to Mission: China's Supply Chain Footprint

Key raw material	China share	Processed material	Drone component	Drone function affected
Rare-earth compounds and metals Rare-earth inputs used in permanent-magnet supply chains	High China supplied 71% of US rare-earth compounds and metals imports in 2021–24; USGS identifies magnets as the leading global end use of rare earths.	Permanent magnets	Motors and actuators	Propulsion, control and payload lift
Natural graphite	High US net import reliance for natural graphite is 100%; China supplied 46% of US natural-graphite imports in 2021–24 and 55% of US graphite battery-anode material imports in the first eight months of 2025.	Battery anode material	Lithium-ion battery cells / packs	Battery capacity and electric-power availability
Gallium and germanium	Very high for gallium; high for germanium China produces close to 90% of global gallium and around 60% of global germanium.	Gallium- and germanium-containing semiconductor and optical materials	Radio-frequency communications, power electronics and infrared/optical components	Signal transmission, infrared/optical sensing and power-electronics efficiency

Source : Deutsche Bank Research, USGS. Note: This table lists three key touchpoints relevant for drones but is not meant to be exhaustive.

However, diversifying sources of commodities and specialised components will likely take years and require significant capital expenditure across the entire value chain. The drone supply chain remains highly globalised, and a single unit can contain hundreds of specialised components sourced from dozens of manufacturers across multiple countries. While derisking could ultimately benefit suppliers/producers in the US, Japan, [South Korea](#) and partner states, it is likely to progress unevenly. Given the scale of the task, eliminating dependencies in military drones will likely continue to take priority over dual use (civilian/military) drones.

Supply chain diversification is a multi-pronged process. Recent developments include efforts by US drone makers to [build](#) domestic supply chains amid new restrictions on China, including the drone [tariffs](#) announced on 13 August. Meanwhile, Taiwanese drone exports to the EU [reportedly](#) increased 40-fold in 2025, while [Japanese and Taiwanese](#) companies are purportedly seeking closer cooperation. Efforts to reduce dependencies include plans to advance technological solutions such as rare-earth-free electric motors and more sustainable navigation and power systems for drones. Some countries, such as [the UK](#), have moved to restrict the use of China-made components on national security grounds.



Expanding export controls could impact diversification timelines. During 2026, China has introduced new restrictions curbing access to critical minerals, rare earths, advanced electronics and other dual-use components. On 24 April, China banned dual-use item exports to seven European companies, [purportedly](#) to counter EU-Ukraine-Taiwan security cooperation. On 22 June, Beijing added ten US defence-linked entities – including drone companies – to its export control list restricting access to dual-use items. This was followed in subsequent weeks by additional curbs on Japanese drone and advanced-technology firms. On 5 August, China tightened drone-related exports to the US in response to Washington's recent tech and economic curbs.



Appendix 1

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